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# ROCKWOOL A/S (ROCK.B.DK)

Q2 2023 Earnings Call

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## MANAGEMENT DISCUSSION SECTION

**Thomas Harder**

*Director-Group Treasury & Investor Relations, ROCKWOOL A/S*

Good day to everyone. Welcome to ROCKWOOL A/S Conference Call Regarding the Results for the First Half-Year of 2023. My name is Thomas Harder. I'm Director of Group Treasury and Investor Relations of ROCKWOOL A/S.

Today, I'm pleased to present CEO, Jens Birgersson; and CFO, Kim Junge Andersen. For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded.

First, Jens Birgersson will go through our presentation and give you an update on the results for the first half year and second quarter of 2022. Afterwards, we will be ready to answer all your good questions.

Before I hand over the word to Jens Birgersson, I must ask you to notice slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties.

Now, we can go to the next slide, which is slide number 3. Jens Birgersson, I'll now hand over the word to you.

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## Jens Birgersson

*President & Chief Executive Officer, ROCKWOOL A/S*

Thank you. Thank you, Thomas. Good morning, everyone.

I think we can move to slide 4, and we focus on the second quarter. So, if we look at the second quarter, it's basically in line with our expectations. We saw a market that declined in volumes. But relative to last year, we saw a smaller decline. We saw a bit of a shift in mix with some of the heavy densities, like flat roof declining more than some of our other businesses. We also saw System Division [Systems Division] do relatively better.

Profitability. Although salary inflation, core inflation, that is inflation without food and energy continuous up, we had a better energy cost position in this quarter. And that led to a healthy EBIT margin and also higher up contribution margin, gross margin that had recovered. So, satisfied with the profitability. And then, on the free cash flow, we ended up basically the same net working capital, but good cash generation in the quarter and pleased with that.

Move to slide 6, please, looking at the two businesses. Insulation shrank 8%, and Q1, we were down 9%, mostly because of the very difficult comparable in Q1, because in 2022, Q1 was very strong. Systems, down 2%, so went through the quarter a little bit better. If we look at pricing, they held relatively steady. The prices didn't go up in Q2 versus Q1, but they are marginally up compared to the end of last year, a bit of a variance to that.

So, if we look at – the markets are quite strong like Canada, North America, some places in Asia, also the UK, France, Spain, there, we see prices that have increased a bit. And then, overall, we have held prices steady, but in project business, larger projects, et cetera, we have adjusted pricing to balance and/or price profitability market share. Our assessment of the quarter is that we have maintained market shares.

Going into the regional sales development on slide 7. I mentioned the countries that were doing good. So, if you move Western Europe, France grew in the quarter; Spain, flattish; North America, very good growth; and parts of Asia, very good growth. Then, as you move East, you comment to say Germany. There, the market is quite depressed. Building permits, housing starts down 30%, 40% – probably close to 40%.

And as you then move East, in Eastern Europe, it's not that they are all declining in volumes, 40%, but basically, the whole Eastern Europe is impacted to a great degree. Up in the Nordics, Denmark probably have the toughest market conditions, but Sweden, Norway, Finland, all double-digit down. And that's a continuation of the trend that we have seen.

If we move on to slide 8, profitability. Satisfied with that one. And it's obviously, a result of the price that we increased the prices towards the end of last year, a little bit in this year. And then that the energy prices are now going back a little bit. They are still high compared to a few years back and the inflation continues on the other things, even though there could be steel prices and other things that now start to decline. But overall, we've now gotten the business back into balance.

In Q1 and Q2, we also contributed, altogether, €27 million split in half, Q1 and Q2, as per these two, one EGM and one AGM decision to the reconstruction of Ukrainian funds. So, all these numbers are – the EBIT after that has been provisioned or transferred out of the company.

And we move to slide 9. Profitability in the Insulation segment has climbed up and reestablished. We are happy with that. Not yet fully happy with the System Division margin, still some work needed to get that business up on high margins. Some of the drivers of the margin apart from the cost, that we have taken down capacity and

energy price is down and the price, is that we have also benefited a bit from an improved mix. For example, with Eastern Europe where we traditionally have slightly lower margin, go down more than the rest of the Western Europe, for example, UK and France, that really improved the country mix in terms of profitability.

And then, generally, we saw less of the big flat roof projects. We got some really, really big orders. We have continued to secure the really big orders, but there's less flat roof business. And there, we traditionally earn a little bit less margin, so that is also a shift. And the fact that System – some of the good System Division businesses like [indiscernible] (00:07:44) has performed. So, that's a favorable mix to what it was.

Moving on to slide 10 and the investment activities. It looks low there at €67 million in CapEx. But if we add back the grants in mainly China, then it's €80 million, so it's kind of on a pretty normal level in terms of investments. And no particular movements in there. It's on a level that we see around that level going forward, €70 million, €80 million a quarter, depending on prioritization of projects. We still haven't started the project in France. There are no recommendations for verdict on the two legal cases around the building permit and the environmental permit.

And our prediction now is that those verdicts will be decided upon and issued before year end, which would indicate that we could start the project in the new year. If that doesn't happen, we need to really reassess this project, but at the moment, that looks very likely. And when we look at the nature of the issues on the air permit, there has been a complaint that two companies that are in the industrial park are not included. In the air permit application, their emissions are not included. The companies are included, but they have changed names.

So, we need to explain that, yes, these are same companies, but they have changed their names. So, it's relatively minor things now in those two. But the legal system in France doesn't work towards defined deadlines and it takes time to get through. So, we are carefully optimistic now that we have the worst behind us, yeah.

Moving to the cash flow, not much to say. Obviously, we don't want to tie up more net working capital. We landed on about the same net working capital in our Q2 and managing that. We don't let the amount of risk [indiscernible] (00:10:06) or anything. We reduce capacity and we adapt the output to the market. So there are nothing worrying in terms of trade receivables that don't get pay or inventories that are built up because we produce too much. Nothing of that is happening, and I won't expect anything else, but it's good to see that it happens.

Outlook, slide 13. On the investment, that's a little bit lower. It's not the strategy to drive it down, it's just the nature of the projects and the fact that France, again, we don't start to see it. Sales, we are down 7% after six months. We see the comparable become a little bit easier, so we kind of put the frame up to – a decline up to 8% for that. And we don't see any particular worrying signs on that side and the comparable are slowly getting a little bit easier, but the activity level seems to have stabilized.

But again, we can't exclude that a country like Germany go even worse if something happens. So, therefore, we kept it relatively wide and then, we look month-by-month. But at the moment, no worrying signs on that side, apart from that is, of course, it's extremely sluggish. And for some house suppliers or contractors, it's a very critical situation on the construction markets and there are many countries. And we have seen now some smaller single-family house suppliers that have gone bust. So, some market is sluggish, no way around that.

We also see that, although, energy efficiency is high on the agenda and while they talk about, we haven't seen that really translate into the real world. Germany now has a draft proposal to increase the subsidy to energy efficiency from this year's €13 billion, decided upon, if it's getting spent, I can't assess, to €18 billion in 2024, so an ambition to step up. But again, we haven't seen that translate into more business yet.

EBIT margin then, we were on 13.3% after six months. And we have said, okay, we feel it's realistic that we should be able to keep that pace for the rest of the year. And then around, a bit better, a bit worse, but we feel that's a relatively safe outlook that we should be able to deliver.

With that, I would like to hand over for questions.

## QUESTION AND ANSWER SECTION

**Thomas Harder**

*Director-Group Treasury & Investor Relations, ROCKWOOL A/S*

A

Please come forward with your question. Thank you. Operator, please go ahead.

**Operator:** And thank you. [Operator Instructions] We'll take our first question from Brijesh Kumar Siya with HSBC. Your line is open.

**Brijesh Kumar Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

Thank you. Good afternoon, gents. I have two questions, if I may. The first one is on Q2 sales mix. If you could just give the split between volume and price. I assume, Q1 had a 20% price increase on a Y-o-Y basis. If you could split that for Q2?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

So, Brijesh, you read all questions or you want to take one at a time?

**Brijesh Kumar Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

Perfect. Okay. The next one is on volume side. You talk about increasing – a small improvement happening quarter-on-quarter, and I see that US had a double-digit rise. I was slightly confused within US, when you say growth for the same time, you're talking about [indiscernible] (00:15:12) big there. If you could just elaborate which end market in US growing. And with the manufacturing, you're certainly getting much more attention. What's your exposure and what do you think would be the future growth prospects there?

And the third one is on, I think, in volume you flagged in the presentation about a potential kind of weakness in those individual residential suppliers. Could you tell – I mean, given your products are mostly through distributors, how much you are exposed to that and what kind of content in effect or other indirect effect you get because of those [indiscernible] (00:15:53) and what are the prospects going into next couple of quarters?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Brijesh, thanks for that. So, my team protests widely because you asked three questions and we said two. But I will answer them because the last one is very easy. This interest rate climate and this single-family housing newbuild, that's primarily a glass-full market. Just only if it's very much premium high housing that we are in, and that goes for almost all geographies, so that's a glass-full segment. So we don't feel much of that.

If we look at the sales mix, it varies with the countries. But I will say, the exception in the US. In the US, the really, really growing segment is data warehouses and all sorts of manufacturing, logistic that are bringing manufacturing home to the US, so that's the main growth driver.

In Europe, if we simplify it, the driver down is that exact same segment. So when you look at different manufacturing investment, they hold back on that, so that has slowed down. And then everything residential have slowed down because people battle to finance. So, uncertainty on the commercial side in Europe, schools, hospitals, et cetera, that keep going.

And then, you come to the UK, where the trend – we are growing, but the market is probably down. I would guess, it's down in volumes, so at least double-digit. But there, we see growth because in this fire-safe insulation, the noncombustibility have now really started to gain traction. And that means that we are almost independent from the market because it's retrofit of taking away the flammable materials from the buildings and also the newbuilds, when it's [indiscernible] (00:17:59) what standard should be delivered to people, go for rather safe than sorry. So that's on the sales mix and some of the growth element.

And then, growth going forward, I think the area to worry the most about is basically, Germany and East and North, up into the Nordics. That's where we see governmental action to – we still have a housing shortage almost everywhere in Europe. You have probably a housing shortage in the US, too, because it hasn't been that much construction going on, even though this decline was not very small before it started to grow again.

So, it feels to me that to let these companies go bust and to have construction workers without jobs is not a clever strategy at the moment. But the verdict is out. Will government step in and do something to try to turn that around? But I think, some segment will suffer.

From our perspective, if this would go worse – we haven't seen signs of that, by the way. We don't have signs. I don't have a forecast, then we would have to take more capacity out. And of course, if we can avoid it, we want to avoid it, but the philosophy we drive is pass on inflation or price increases. So, we balance, our variable cost and the salary cost with the pricing, and then adapt capacity and maintain market share. That's the recipe.

But at the moment, it feels like we are in a pretty steady-state situation where it's moving that way forward. And we haven't seen extreme market movements. Of course, in some big project business, you see some segment where small project business, very fierce competition. But on the big projects, yes, our kind of attribute still are really valid and we get those projects. So, we navigate this. I hope that answered the three questions in a little bit mixed up format.

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**Brijesh Kumar Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

No. That's helpful. Just on the price and volume mix in Q2, if you could just give a broad number around that?

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**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

I don't really have a broad – I mean, versus the beginning of the year, a couple of percentage point up in aggregate, but it's a dangerous number to look at. So, our price versus Q1 pricing has hold basically steady or maybe declined a little bit in Europe. But overall, we're up from the beginning of the year, so 2%. But there, we have some markets like North America, UK and other markets, where pricing keeps going up in quite big steps.

So, it's a little bit dangerous without discussing regions, but generally, pricing holding fairly steady with segment differences. But it is a higher pricing compared to December last year, okay. Slightly higher, moderately higher, but many segments are little bit lower, okay.

**Brijesh Kumar Siya**

*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Yeah.

**Operator:** [Operator Instructions] We will now go to Casper Blom with Danske Bank. Your line is open.

**Casper Blom**

*Analyst, Danske Bank A/S*

Thank you very much. And I'll take two questions as well, please. And I like to start off with pricing again here. Have you seen any signs of any of your competitors starting to lower prices? And secondly, on pricing, you mentioned that some of the smaller housebuilders, et cetera, are really in a tough position right now. Is there not pressure from some of your customers that are suffering to start lowering prices? I mean, when they look at your underlying EBIT margin of 16%, they must be feeling pretty envy right now. So, if you could talk a bit about that that pricing dynamic that you're seeing right now. That's the first thing.

And then, secondly, it would be interesting, if you're willing to, if you could sort of add a little flavor to your thinking about 2024 already now? I mean, do you think that this sluggish environment that we're in right now in Eastern and Western Europe can turn around already next year, or do you sort of more foresee a flattish situation as things are right now? Thank you.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Okay. Thank you, Casper. So, first of all, with the housing suppliers. I mean, the reason houses are not being sold is that financing cost, and the overall economy and the real salary decreases that you see in many countries that people simply can't afford it. There are people that need houses, but they can't afford it, or they don't feel it's the right time to take a big debt and build a house. So, I think that's the number one issue there and it's not our main segment. Of course, multi-unit housing, we are involved in there. We have a good share. So, that's on that side.

But when it comes to pricing, how I see it, when we build a factory now or we buy the material, it's very high level. And building and expanding capacity now, we see our factories becoming more and more expensive to build. So, we need to keep up with the inflationary increases, otherwise, we simply don't have a viable business. So, that's how we see that. And then, the fact that volumes collapse in some construction segment, that's, for me, a different matter.

And so, pressure – or are there competitors at lower prices? For sure. You look into Eastern Europe from suppliers on flat roof, yes, they lower prices, but there is enough market where noncombustibility and where our attributes come into play and where we can maintain the price.

So, I think, you have a place where some smaller suppliers were desperate to do anything to get some volume. And if they go down that track, it's going to be risky for the whole company. But if you sit with a big operation like we do, and you see salaries go up, it hasn't normalized, it hasn't dropped, things cost. You need to be very careful with doing that. So, therefore, I think, our expectation is that people realize, in an inflationary environment, it's just



not a good strategy to lower between 2%. I believe, volumes will fix it because it won't. It won't. So inflationary environment remains.

When you come to the market, our experience in the US, we had like five months last year with roughly 50% lower volume in the US and then, it jumped up and now it's up and going well, again. I haven't seen any signs of things bottoming up or jumping up in Europe. So, without making a forecast for next year, I don't see any signs that this is going to change. And then, of course, there might be a report out there that say, half year next year will be better. There will be prophecies for all sorts of things, but I haven't seen any signs. And I think we need to be ready for that. This will remain low. And I think, governmental interaction needs to come into play.

Then, if you look at the GDP outlook for next year, if that would be an indicator, France, Germany, I mean, all of them at the moment sit with a GDP forecast of 1% to 1.3% for next year. So, Germany, this year, a bit of recession, a bit negative, but the others are all, next year, 1% to 1.4% and the whole of Europe. And that forecast might be wrong. But at the moment, no one has come and said that, it will be any better than that.

US still sits with a GDP forecast, OECD and IMF, both at around 1% for next year. And there, I think – I came from the US this morning. I just landed couple of hours back, there, I think, the sentiment is more soft landing, is coming around. Probably that 1% next year going to improve that. That's what you feel when you're on the market. In Europe, that's not what I feel. But again, totally subjective, no facts to this, it's just my observation, so I think, it's not – there isn't any reason to assume that it will turn around.

And as always, we don't speculate. Housing shortage is there. We believe, general, demand going to be great. But when this one comes around, we don't prophesize on that. When it comes, we build up to it.

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**Casper Blom**

*Analyst, Danske Bank A/S*



Thanks a lot. Appreciate your thoughts, Jens.

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**Operator:** We will go next to Arnaud Lehmann with Bank of America. Your line is open.

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**Arnaud Lehmann**

*Analyst, Bank of America Merrill Lynch*



Thank you very much. Good afternoon, gentlemen. So, I have two questions. My first question is on your revised margin guidance. Excluding the Ukraine contribution, I think, in the first half, your margin was about 15%. And your full-year guidance imply something closer to 12% or 13% in the second half. So I guess, my first question is, are you just building some cushion into that, or are there any specific element we need to be aware of that could be worse in the second half either on the pricing, the cost or the volume side? That's my first question.

And my second question is on the reduced CapEx guidance. Could you give us a bit of color of what's going on there? Is it related to the French plant that keeps being delayed, or is it a more cautious view on the medium-term volume outlook for the business? Thank you.

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**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*



Yeah. So, Arnaud, we don't have – I take the margin question and Kim will take the CapEx one. On the margin, there isn't any particular reason. What we said, the market could stop, the market could go worse, but fundamentally, we believe this profitability will remain. And then, as usual, we have that discussion every year.



And we are wrong, it's like two-thirds of the time in our concerns and sometimes, we are wrong the other way, and that is that we have a fourth quarter that is notoriously difficult to forecast because if the winter comes, then it turns into bad quarters.

So I would say, that's the main factor in our guidance here that we have just said, okay, continuous roughly like that. And then, we said on average, not a disaster Q4 with 1 meter of snow. So, that's all there is to that and the rest is – but there are no big movements and anything. And then, weather-dependent, a little bit. So, that's on the margin.

Over to you, Kim, on the CapEx.

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**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

Yeah. Arnaud, on the CapEx side, it's correct. It is mainly the small delay we have in the start-up of the construction in France. Then, we also had a land purchase in Europe, a place in Europe that was also, timing-wise, delayed until next year. There's no reflection of our belief in that we need to add capacity in Europe. So, it's mainly just a timing question on these CapEx projects.

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**Arnaud Lehmann**

*Analyst, Bank of America Merrill Lynch*

Q

Thank you. And if I can follow up on the French project. I guess, the local press has been highlighting that the local residents are talking about the air pollutions and various other environmental issues. Do you feel that you've been able to address these concerns to make the project move forward?

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**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. So, I mean, I just came from Branson in West Virginia. I mean, the plant is a jewel. It's beautiful. It's clean. It's supported by the residents, a very good employer. So, I mean, we have something called, minimum requirements for our plants. We build them as clean as we can, over and above law. But the law in the US is good. It's tough. It's stringent. But we don't save on factories, they're clean.

So, what's important to know is that, once the plant is there, it will be accepted. We have seen that time after time. And the process up to it, I start to get to a point that I said, there will always be a group, a Facebook group or something. There will be protests when you put manufacturing in Europe back. It's just the way it is. And then, we will communicate about it. But our experience is that these groups, there could be all sorts of motives. Sometimes, the motive is someone doesn't want the factory in the whole area, even though the municipality has said, we make an industrial zone, there could be all sorts of reasons.

I think, we need to get used for the greenfield to have that noise and that opposition. And then, we also feel very confident and comfortable that we have a clean factory at the end. It doesn't make anyone sick, and we don't kill animals and it create good and sustainable long-term jobs and output. This is good for the country. And it's all local for local. It's not like we build lots of capital equipment and then we leave. And all the money for the investment was spent outside. We stay. We stay.

So, I think, we just expected and we will have to get ready for a lot of communication and engagement with the local population and explain what it is and also take them to other factories. The end result, I have no doubt, they're going to see that it's good, but it might be nice along the way. That's our experience.

**Arnaud Lehmann**

*Analyst, Bank of America Merrill Lynch*

Thank you very much.

Q

**Operator:** Once again, we will take two questions per participant. We will go next to Claus Almer with Nordea. Your line is open.

**Claus Almer**

*Analyst, Nordea Bank Abp (Denmark)*

Thank you. Yeah. I will do two questions, and doing one by one. So the first question, Jens, is about these pricing comments you have given during this call. It sounds like you are seeing more this quarter some segments with lower prices and more fierce competition than you mentioned after Q1. Is that correct and what is the risk of this spreading to more segments? That will be the first one.

Q

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

No. Yeah, I was probably correct – maybe I expressed myself incorrectly. I think, we see quite normal dynamics. And obviously, when volumes go down and you have a small flat roof project, where you just report in there, it's definitely getting tougher in Eastern Europe. And we are willing to let some of those projects go if the pricing is too low. And that's the normal mechanism in Poland. So, it's not abnormal. We've been through it so many times in Eastern Europe.

A

I would say, the summary of the pricing situation is that, we maintain price quality. There are some price increases. For example, in the US, one competitor now – not in our segment, but they increased the prices with 8%, launched it. So, it's all different. But I will say, generally, that I didn't want to put a concern across that we worry a lot about pricing, but we keep managing this balance between market share and price and navigate price and capacity. And so far so good, and I don't see – I haven't seen that has getting more difficult or that anything has changed.

And then, we have the normal dynamics because it's our business, this segment, that segment, a bit of that, but nothing extraordinary. But of course, we need all hands on deck out into say, its organization and work for this. But it's pretty standard work, and they need to work a bit harder, but nothing dramatic.

**Claus Almer**

*Analyst, Nordea Bank Abp (Denmark)*

And when I check up on prices, and I did some checks in the US, and I know, we can only check in Q2 prices, but there, in the last couple of months, it seems to – with business, a negative price trend for your products. But, yeah, but you don't see that on your side?

Q

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

No. I think the opposite, actually. So, I don't know where your data comes from, but that's not what we see.

A

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

It might be discount in the trade.

A

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

It could be discount in the trade, destocking or something, maybe that.

**Claus Almer**

*Analyst, Nordea Bank Abp (Denmark)*

Q

Yeah. Yeah, that's very difficult to track from the outside. The second question, Kim, is in Russia. So I know, you don't give a lot of details. So, how big is Russia? Do you see a revenue that is declining or volume that is declining on par with group or it's just better or worse? Maybe you can give an update from that point of view.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah, it's below 10% of the group. And any deviations from the group development is insignificant to the numbers you see, okay. So, without going into details on Russia, it's not like Russia impact us massively in one or the other direction and it's less than 10%. So, that's much as I can say.

**Claus Almer**

*Analyst, Nordea Bank Abp (Denmark)*

Q

Okay. Thanks for that color. That was all from my side.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Thanks, Claus.

**Operator:** We will go next to Yuri Serov with Redburn. Your line is open.

**Yuri Serov**

*Analyst, Redburn (Europe) Ltd.*

Q

Hi. Good afternoon. Let me ask – well, I have one question and then, I will think about the second. So, the first one, it's kind of a big question. Previously, on previous communications, you've told us that your aspiration margin for the business was 13%. Now, this year, you are getting it in a recessionary environment despite payments to Ukraine. Does that mean that your aspiration needs to be upgraded for the future?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Good question, Yuri. We haven't had any normal years for a while, right? So, now, we talk about the market, the slumping, and then we had last year, the energy shock few quarters on corona. So, I think, you need to make a lot of assumptions about the business. And these years that are just always – I won't say happening, but the test of our agility, and we have agility. So I'm not on the level now – in our forward assumption, we assume, 10% to 14% margin, it's going to be in there and then this year's goal.

But clear is, I believe that, if energy efficiency initiatives and you start to grow in that segment, I personally feel this business should have better margins. But in the meantime, we tend to go from this year, where we navigate through years with huge macros coming from all different directions, so we never get to steady state, so it's more agile maneuvering every year and making sure we keep profitability in a place where we are sustainable.

So, I would love to answer that question, where we have a steady state and we start to get a few years runway with the margins running, But when you look at the investments we have in greenification, all the requirements we have, I certainly would like to have the business on a higher margin without providing a new guidance. We say, today, we want to be above 10%. I'm not setting a target, but we need a little bit of steady state business to be able to see if we can get that in place and get on a different trajectory.

**Yuri Serov**

*Analyst, Redburn (Europe) Ltd.*

Q

Yeah. Well, I cannot help but think that the margin should be higher because we're talking about 2024, which you're talking about the business segment. Now, you say, that it's standard practice. Pricing, you're managing. Volumes are stabilizing at low levels. So, 2024 should really be at least not worse. And in that case, the margins should be at least not worse, but more likely higher. Maybe it will be steady state from there on?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Too early for me to guide, Yuri. I'm sorry. I can't help you on that one. And we have learned now in the last years, we sit here in September, and almost every assumption about next year, when we sit in September. Once we get to January, we just see a different reality. So I think it's good that we keep that guidance until next year when we are little bit into it. It's just so volatile on that.

At the same, I wouldn't like to scare you and say that we worry about not being able to navigate the environment. I think we have a track record but we feel that we can send capacities up and down. And I mean, one of the challenges would be if growth goes too much to build factories. That's probably one of the bigger challenges.

And if we look at last year, 2022, we came out of that year relatively well. And we had, I think, in one quarter, €60 million more cost jumping on us in one quarter and still we got out of the year quite well. So, I'm pretty confident about that we can take it on. But the steady state, a few years of steady state just growing on a high level. Still waiting for that environment to happen and the world normalizes a little bit.

Question also now, what happens with China? Until now, everyone has assumed that if China goes, that doesn't pull down the world economy, but China is not doing well. We are incredibly small in China, doesn't impact us. But will that have a greater economic impact on the world? People have historically assumed it doesn't, but maybe it does this time. Who knows? But I really don't know. We just stay agile. And, yes, I wouldn't mind higher margins long term.

**Yuri Serov**

*Analyst, Redburn (Europe) Ltd.*

Q

And the second one, can I just probe you a bit more about your numbers in Q2? So, when I looked at your Q1 numbers, I somehow came to the conclusion that year-on-year, your volumes dropped by 20% overall. And you're saying that in Q2, they were better. What does that mean? Is it minus 10%, minus 15%? I mean, can we have some sort of a parameter for this?

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

Yeah. Yuri, Kim here. As you know, we will not sort of entertain that allocation between price and volume. What we have said, that the price in the second quarter held steady from the first quarter. Then, you have to do your

own sort of modeling around that. I think we will not go into the details of our volume, except to say that volume for the second quarter was higher than the first quarter.

**Jens Birgersson***President & Chief Executive Officer, ROCKWOOL A/S*

A

And, Yuri, there is another aspect here, that country mix and the density mix, but it's less heavy density from the flat roof, more facade insulation, that actually impact quite a lot and we never talk about [indiscernible] (00:44:37). When you run this in the model, the fact that flat roof go down and this replace for other business, it changes kind of the volume benefit quite drastically.

So, there is a natural hedge, so to say, when the volume goes down and tougher contribution. But it's not price, it's mix between the product segment so, yeah. And also, the country mix on top, which you don't see, where France is doing well, for example. US, we have now and Canada, we have quite good margins better than in Eastern Europe, so that also impact.

**Yuri Serov***Analyst, Redburn (Europe) Ltd.*

Q

Okay. Thank you.

**Operator:** We will go next to Yassine Touahri with On Field Investment Research. Your line is open.

**Yassine Touahri***Analyst, On Field Investment Research LLP*

Q

Yes. Good afternoon. My first question will be on the message that you're giving for the autumn season. You're talking about [indiscernible] (00:45:39) on earnings, stability in prices in the Nordics. Do you have a view of what's happening so far in July and August in terms of like-for-like trend? Is it something close to the 7% that we've seen in H1, or is it getting a bit better because of the base effect? That would be my first question.

Then, my second question is that when I look at your gross margin over a long period of time, it was close to 52%, and then it dropped to less than 45% last year. But this quarter, you got back to your historical gross margin of 52%. Do you think that you can keep the gross margin of 52% in the second part of 2023 and in 2024, given the inadequate development and the pace of development that we've seen so far?

**Kim Junge Andersen***Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

Yeah. Hi, Yassine. Kim here again. I think it's sort of indirectly said that we do not see, the short term, any change in the underlying market driver. So, in that sense, you sort of have your guidance for the two actual months that we have delivered here, July and August. But we do have this always uncertainty in Q4 in Europe with the winter. And that's really the major uncertainties, I guess, here in the second half of the year. So, there was sort of a bit sort of extra forecasting details for you.

On the contribution or gross margin recovery, it is true that we have recovered the gross margin, and this, you can say, the decline of cost is partly driven by the energy prices last year. And then, again, recovery the opposite way that energy prices went down this year. And then, we have sort of also done cost control at the factories.

Aspiration is, of course, not to lower gross margin going forward, but as we know that in the real world, it is not like my perfect Excel world that things are linear. So, things will happen in the real world, and then, we just have to navigate that and to take actions whenever we see that.

**Yassine Touahri**

*Analyst, On Field Investment Research LLP*

Q

So, if I understand your message, does it mean that July and August would be down approximately 7% organically, and that the gross margin so far has remained stable as is for the second quarter at 52%?

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

What I was saying is the underlying trading dynamics have not changed in July and August compared to the second quarter.

**Yassine Touahri**

*Analyst, On Field Investment Research LLP*

Q

So, it means it's better than 97% because of the pace effect which is easier?

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

You'll have to do your own math. I will not go more into details. Thanks. Thanks, Yassine.

**Yassine Touahri**

*Analyst, On Field Investment Research LLP*

Q

Thank you. Thank you very much.

**Operator:** We will go next to Kristian Johansen with SEB. Your line is open.

**Kristian Tornøe Johansen**

*Analyst, Skandinaviska Enskilda Banken AB*

Q

Yes. Thank you. Also, two questions for me. I will do them one by one. So, first on energy costs, can you just update us how much of your energy cost have you hedged for the remainder of the year? And also, how much have you hedged for 2024?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Okay. So, we have hedged about 50% until the end of the year, and we don't have a number for next year yet. We are looking for opportunities. But when I say hedging, there is an indirect hedging happening by making long-term contracts. So, it's not hedging, and we are making those, we have some countries where we use a lot of electricity. We have done it. We haven't gotten a long-term contracts on gas, but we are negotiating a few of those. And that will then reduce the amount of free electricity that we need to hedge over time, more and more.

It will not happen quickly. We do this very slowly, but we are looking into, three-year contracts, four-year contracts. And we've done a few, we have some on the table, but we are very careful, we're tying up too much. We don't mind if you find good deals to get to, say, a 50% level for next year. We have a policy now that we work towards, but we don't want to do deals that freeze it on a high level. So that's how we work. So, so far, I would

say, yes, some factories have their electricity sorted out for next year, but we are not on any near 50% because that's not our policy, but we are working on finding more.

**Kristian Tornøe Johansen**

*Analyst, Skandinaviska Enskilda Banken AB*

Q

Okay. And then, just to clarify, so the 50% you hedged for this year, is that on all your energy sources. So, is it both electricity, gas and then coke?

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Electricity and gas and coke is kind of sort of implicitly where we are due to our contracts.

**Kristian Tornøe Johansen**

*Analyst, Skandinaviska Enskilda Banken AB*

Q

Sure. Great. So, my second question now goes to Russia. So, we've seen companies like Carlsberg having their Russian asset seized. So, I guess, your thoughts on the risk of the same happening to you? And in such scenario, what was the full value of your Russian business? I mean, what's the impairment risk in such scenario?

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

Yeah, Kristian. Together with our esteemed auditors, PwC, we have assessed that there is no impairment risk for the investments that we have in Russia. And we do that on a continued basis, obviously, also in things like what happened earlier this year with Carlsberg, and then, we do an assessment of the risk. But there will be no impairment off the Russian investments this year.

**Kristian Tornøe Johansen**

*Analyst, Skandinaviska Enskilda Banken AB*

Q

That's not exactly what I was asking, because I obviously understand that. Another thing, Carlsberg did an impairment before their assets were seized. I'm more asking, in the scenario where your assets were to be seized, I mean, what's really the risk on your balance sheet?

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

The risk is not going to be substantial. You can say the four factories have had a long-time operation. Some of them are, in fact, fully written off. And we have also mentioned that we have a financial asset here in head office, because I just mentioned in our call report that, in case that there is a seizure of assets, that we can offset that against the asset value. So, it will be minimum on the balance sheet.

**Kristian Tornøe Johansen**

*Analyst, Skandinaviska Enskilda Banken AB*

Q

Understood. Thank you.

**Operator:** We will go next to Marcus Cole with UBS. Your line is open.



**Marcus Cole**

*Analyst, UBS AG (London Branch)*

Q

Hi. Thanks for taking my questions. Two as well. The first one is just, what's the outlook for the cost base in the second half and into next year? And the second one is, could you just clarify on the pricing strategy, does it hold market share from there? Thanks.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Hello, Marcus. I think it's first time you're in the call, right?

**Marcus Cole**

*Analyst, UBS AG (London Branch)*

Q

Correct, yes.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah, yeah. Good. Welcome. Yeah, pricing strategy, we don't want to give how we execute on the pricing strategy for next year. We are looking out inflation all the rest to firm up our mind on next year. But as a strategy in this time – so the core strategy is to just maintain market share, but that's the way. And how we work the last nine years that I've been around here, in normal years, we've done kind of drumbeat pricing, but it's a bit too early to do. We need to understand better how the costs are developing into next year. So, just the question on price. What was the other question?

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

A

Outlook on cost base.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Outlook and cost base is similar. I mean, when you have a big manufacturing operation like we have, the absorption cost – I mean, the overall cost base with our type of factories, if the volume go down further, we're relatively good at adapting, blue collar manufacturing costs, et cetera, but of course, we have maintenance. We have other things that sits more or less fixed cost. So, if volumes go down, our relative cost position will worsen. But overall, I think that the cost base in terms of salaries and all the rest will increase. So, again, price will be the main issue plus not letting productivity run out of hand.

If we look at productivity, in the office compared to where we were, €2.2 billion. And now, we are €3.6 billion or more than €3 billion. We haven't added an awful lot of resources outside some clear area with IT, digitalization and capability to build factories. So, we have been very, very strict on raising productivity in many, many functions.

Finance organization today is, I guess, a-third smaller, and we can run the business up for that. But in some of these, we have reached the point where we have like competent core teams, so we don't really want to reduce it for a short blip in top line. And it's not because we are afraid of adjusting. It's because we have reached some of this very good cross benchmarks and we have very functional organization with very good people.

So, sure, if volume were to reduce a bit more, we might not be – and you don't like to hear this, but I think it is slightly different [indiscernible] (00:56:10). When you have the type of competencies we have and a well-oiled machine, we are little bit careful with it. So, we, for example, reduce cost too much during corona, and that cost us more when the upswing came than the savings we did from the reduction. So, we're a little bit more careful now than we have been maybe previously.

**Marcus Cole**

*Analyst, UBS AG (London Branch)*

Okay. Thank you very much.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Thanks.

**Operator:** We will go next to Zaim Beekawa with JPMorgan. Your line is open.

**Zaim Beekawa**

*Analyst, JPMorgan Securities Plc*

Afternoon, and thanks for taking my question. The first is just on France. You mentioned that this region is doing quite well. Is there anything particular about this market? And then, second, on the land purchases, is there any particular regions that you're looking at? Thank you.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Yeah. So, on France, we did once an exercise around the Lehman Brothers crash, where we checked how quickly countries came out of the dip in the construction market. And the quickest one to react that did really, really well was France. Germany was very good at that time. So far, we haven't seen that happen in Germany. So I think, on the one hand, French labor law is not easy to be flexible. On the other hand, the government is quite quick to react and do something when a downturn comes. So, I think that is what we see here.

Obviously, also the export dependence, if you compare Germany to France, is just a less percentage of exports of their GDP. So, they are little bit less dependent on China and other countries when trade goes down. But we have just seen that France, in these deeps, have been quite good at taking action to prevent it to go into the seller, so to say, and take a deep turn. And also this time, we have a – yeah. Any comments to that, Kim?

**Kim Junge Andersen**

*Senior Vice President & Chief Financial Officer, ROCKWOOL A/S*

No. I would say, I mean, compared to Germany, of course, France, is in a more favorable situation with the nuclear plants that they have available energy. And that, in a sense, creates a competitive advantage.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

That's a good point. If you look at EDF's production numbers now, last year, you had all these nuclear plants. You had corrosion. You had problem finding welders. You have all of that. But their underlying nuclear output has come up. And, of course, that is a massive competitive advantage compared to, for example, Germany that sits with all the energy challenges.

Land purchases, I mean, we are looking for land in a number of players, so, it doesn't mean we – I mean, we're always on the lookout, but we would need long term in several places in Europe. So, I won't reveal countries. US for example, we will have to expand. And if that happens, how soon it happens.

But with the growth we have, we basically need to keep the pace. We have kept the last couple of years, if nothing dramatic happened with the market. So, North America, for sure, we are looking for expansion. Because once you stepped into the market and taken the leadership, you need to supply the market, so that will keep going.

In Europe, the immediate one is obviously to get the French one built. And then, there are a couple of places. We need more capacity, not at the moment, because we have capacity, but in a few years' time, we would need more in Europe if this energy efficiency come. And it doesn't matter so much where it happens.

You know already that we have bought a piece of land in Italy. But when you look at those purchases of land, it's often a case of where is the suitable piece of the land and how does it fit into our production network. So, it's not only about the country, it's also flows elsewhere it can offload within the network. But Italy is the one we have purchased and announced. But again, we have not set a deadline for where we would put a plant there.

**Zaim Beekawa**

*Analyst, JPMorgan Securities Plc*

Great. Thanks, both.

**Operator:** We will take our last question from Yves Bromehead with Societe Generale. Your line is open.

**Yves Bromehead**

*Analyst, Societe Generale Corporate and Investment Banking (SGCIB)*

Good afternoon, Jens and Kim. Two quick ones. First, just coming back on the Systems. I think you mentioned that you wanted to address the margin. You think you can bring that upwards. I just wanted to know the timing of that. Should we expect some degree of improvement already in the second half of the year? That would be my first question.

And then, my second question, regarding the capacity point that you just raised with Italy. I mean, looking at sort of what has happened in France and the difficulty of setting up a plant with regards to permits, with regard to the public, would you not think that it could be easier to set up plants, for example, in LatAm for the US or even in neighboring Eastern European countries like Croatia for Italy, just to speed up the process in countries that don't seem to be regarding stone wool in the same way as other Western European countries, for example? Thank you very much.

**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Yeah. I think the French plant, if you look at the Iberian peninsula and France and the appreciation of stone wool, and also the support we have for that factory, I mean, if you go on federal level, state level in France, there's massive support for that plant. They have visited us. They have been pushing to put that. So, I think that there are two streams. So, I think, that this local aspect, almost everywhere, you will have it. Remember, when we built Croatia, we had massive protest and today, we are – so I don't think it's easy to predict where you will – there isn't a purely safe place. We know, though, that when we expand with one more line, so we did one in Nürburg,

Southern Germany, then everyone welcome us because we've been there for 50 years and they know exactly that all these adverse effects don't happen.

So, I think, in the French case, in today's world, with the nature of the shipping, remember, we still only the ship, on average 400 kilometer, because it's a flat roof product. It's a massively good industrial logic to have the plant in France. So, we're just going to go through it. And we have never felt – if we felt from the French government, we don't want you here, then of course, it wouldn't be worth the effort. We have many places we can build a plant. But that's not at all what we feel. We have great support.

And also, if you look outside, that protest group from the region, he's engaged in every detail. He wants the factory. He wants the job. And then you have this. So, we feel this will need to go ahead and it's worth the pain. And you say, you get the quick deliveries, you get the local jobs. It's just better for France and everyone if we build it there because it's local for local and a big and important market. So, that's on the manufacturing. And, yeah, that's how we think because the permanent competitive advantage of sitting in the market close to the customers is permanent. It's worth the pain.

Then, on the SD margins, we haven't forecast – our forecast is kind of a rolling forecast on profitability. We have assumed roughly the same the rest of the year. And it could go both ways on System Division depending on which business breaks and what so and so. So, the immediate short term, I haven't predicted that the margin would be better.

But again, we don't have much at the moment pull in the business and the market, so we are still adapting. And then after that, we want to get back to this 15-plus percent EBIT margin profitability of our System Division. If we don't keep that, we are basically not happy. So, we need to get back to that, and we are aiming for that.

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**Yves Bromehead**

*Analyst, Societe Generale Corporate and Investment Banking (SGCIB)*

Great. Thank you very much.

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**Jens Birgersson**

*President & Chief Executive Officer, ROCKWOOL A/S*

Yves.

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**Operator:** Ladies and gentlemen, we will now close the Q&A session. I will now turn over to your host for the final remarks. Please begin.

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**Thomas Harder**

*Director-Group Treasury & Investor Relations, ROCKWOOL A/S*

Thank you. Jens, Kim and I, Thomas Harder, thank you for joining today's earnings call. We would like to thank you for all your good questions and the audience for listening in on today's call. We appreciate your interest in ROCKWOOL A/S.

If you have further questions, please feel free to reach out to me. You know my contact details, or you may find them in the Investors section on our corporate website. Have a great day.

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